much higher rate in the years 2019–20 and 2020 on account of non-revision of higher than market interest rates on small savings instruments.

The savings of people invested in NSSF, like savings invested in MFs, are in a way assets under management (AUM) of the government. AUMs with all the MFs were about Rs 32 lakh crore at the end of 2020–21. AUMs under NSSF were about Rs 21 lakh crore at this time.

Until financial year 2020–21, there were primarily four investment avenues for small savings flows: investment in special securities issued by the Centre; investment in special securities issued by state governments; loans to the public enterprises and authorities of the Government of India; and, finally, partly meeting the fiscal deficit with cash balances lying uninvested. In addition, the Central government has liability towards accumulated losses in NSSF.

The Central government issues three kinds of special securities to the NSSF: against balances on 31 March 1999, the day the NSSF arrangement came into being (earlier the Centre used to provide small savings loans against accruals of small savings in the states from the CFI); against fresh accumulations in NSSF from 1 April 1999; and against redemption of special securities by the Centre and states.

On 31 March 2020, net investment in these three types of securities was Rs 64,567 crore, Rs 3,86,897 crore and Rs 3,97,453 crore respectively, amounting to Rs 8,48,917 crore in total. Outstanding balance of securities issued by the states as on 31 March 2020 amounted to Rs 4,40,438 crore.

The Centre started using funds in NSSF to provide loans to Central government entities from financial year 2016–17. The first such loan was made to FCI when a Rs 70,000 crore loan was extended (repayable in five annual instalments) in lieu of food subsidy claims for 2016–17. In 2017–18, this practice was extended to other PSUs and authorities for both investment and subsidy support. In 2020–21, NSSF loans to FCI were